

sub-prime crisis in its home country, sold Orchid shares. When the stock fell, Rao failed to meet the margin call from his lenders, who began offloading the stock in the market.

The sale of the shares resulted in Rao's stake in the company falling from 24 per cent to 14 per cent, rendering the company vulnerable to a takeover. Ranbaxy-controlled Solrex used the crash in the share price to pick up a 12 per cent stake in the company, sparking buzz of a hostile takeover. Interestingly, Religare, one of the two NBFCs that had dumped Rao's shares in the open market, was part of the Ranbaxy group.

What probably saved Orchid was Ranbaxy itself selling out to Japan-based Daiichi Sankyo in August 2008. Solrex retained its stake in Orchid for a while, but gradually exited the stock over the next couple of years.

Rao may have been lucky to retain control of his company after coming within a hair's breadth of losing it, but Vijay Kantilal Sheth of Great Offshore, an offshore oilfield services firm, was not as fortunate. In May 2009, he earned the dubious distinction of becoming the first Indian promoter in India to cede control of his company as a result of his inability to repay the loans he had taken by pledging his shares.

Sheth had pledged his entire holding of roughly 15 per cent in the company with Bharati Shipyard. With the market in a bear grip, Great Offshore crashed from around Rs 545 in September 2008 to Rs 206 by early March 2009. Bharati Shipyard asked Sheth for additional collateral or part prepayment of the loan, both of which he could not meet, and ended up losing control of his firm.